Atlas Trade Provisions LLC

Fixed Asset Capitalization & Depreciation Policy — effective FY2024

1. Capitalization thresholds

Expenditures that acquire or extend the service capacity of a long-lived asset are capitalized; expenditures that maintain an asset in its existing condition are expensed as incurred.

Capitalization floor	Individual items with cost of $2,500 or more and a useful life beyond one year are capitalized.
Betterment vs. repair	A betterment increases capacity, efficiency, or useful life and is capitalized. A repair restores the asset to its prior condition and is expensed.
Freight & install	Freight, installation, and commissioning costs necessary to ready an asset for use are included in its capitalized cost.

2. Componentization

Refrigeration systems and the warehouse buildout are componentized: significant parts with differing useful lives are recorded and depreciated as separate components.

Component group	Representative components	Useful life	Convention
Warehouse buildout	Structural, dock improvements, electrical, office build-out	12–15 yrs	Half-month
Racking & storage	Selective, drive-in, mezzanine	10 yrs	Half-month
Refrigeration	Compressor rack, condensers, evaporators, controls, glycol loop	10–15 yrs	Half-month
Material handling	Dock lifts, conveyor	10 yrs	Half-month
Forklifts / powered	Reach trucks, counterbalance, pallet jacks, pickers	7–8 yrs	Half-month
Delivery fleet (owned)	Refrigerated trucks and vans	7 yrs	Half-month
Office & IT	Servers, workstations, scanners	5 yrs	Half-month

3. Depreciation method & salvage

Assets are depreciated straight-line over their useful lives to estimated salvage value. The half-month convention applies in the month an asset is placed in service and in the month of disposal. Salvage values are reviewed annually.

When a component is replaced, the carrying amount of the replaced component is derecognized and the new component is capitalized and depreciated over its own useful life.

4. Disposals

On disposal, both the asset cost and its related accumulated depreciation are removed from the subledger and the general ledger; any difference between proceeds and net book value is recognized as a gain or loss on disposal.

This policy is the governing authority for capitalize-versus-expense and componentization judgments. The fixed asset register is the authoritative subledger for asset cost, life, and accumulated depreciation.